O THE DEVELOPMENT OF UP

Chief Minister Yogi Adityanath recognizes the crucial role of handicrafts and artisans in strengthening the MSME sector. To support and empower them, the state government has launched the "Vishwakarma Shram Samman Yojana," which aims to uplift handicraftsmen and artisans. Under this scheme, honorariums and toolkits are provided to those who undergo training in various programs. Additionally, the government facilitates access to loans from banks for these artisans, further fueling their growth and prosperity.

Small entrepreneurs in the state have broken last year's record in terms of taking loans after getting incentives from the state government. Last year, the MSME sector took a loan of Rs 83,000 crore. However, in the year 2022-23, this figure soared to an impressive Rs 1.5 lakh crore.

Some notable schemes that have been brought online include the Chief Minister Handicraft Pension Scheme, Special Handicraft Pension Scheme, Handicraft Marketing Promotion Scheme, Uttar Pradesh Micro, Small and Medium Enterprises Technical Upgradation Scheme, and the online permission scheme in 72 hours for establishing units under the Micro, Small, and Medium Enterprises Act-2020.

The establishment of the "Mati Kala Board" has played a pivotal role in uplifting and supporting handicraftsmen and artisans across the state.

During the challenging period of the COVID-19 pandemic, Uttar Pradesh saw an influx of about 40 lakh migrant workers and laborers to the state. The state government took proactive measures to provide employment opportunities to these individuals through "skill mapping," and adjusting them in various units of MSMEs.

ENTREPRENEUR ACCIDENT INSURANCE SCHEME

The "Chief Minister Micro Entrepreneur Accident Insurance Scheme" is set to be launched in the state on August 15, with the primary objective of promoting and supporting the MSME sector. This scheme will encompass all microentrepreneurs aged between 18 and 60 years, providing them with insurance coverage. All entrepreneurs who fall under this scope of registration in the current financial year will receive insurance coverage until June 30, 2024. Then in the next financial year, the entrepreneurs who are registered till 30th June will be given insurance cover from 1st July to 30th June.

The scheme will be effective for five years. Entrepreneurs coming under the purview of GST will not get the benefit of this scheme as they are already getting the benefit of the Chief Minister's Traders Accident Insurance, run by the GST Department. The scheme will be operated by the MSME department in the current financial year. Under the scheme, financial assistance of up to five lakh will be provided in case of accident or permanent disability of the entrepreneur belonging to this category.

"PLEDGE SCHEME" WILL CHANGE THE PICTURE

The Yogi government is taking significant steps to accelerate industrial growth in Uttar Pradesh through the implementation of the "Pledge (Promoting Leadership and Enterprise for Development of Growth Engines)" scheme. Under this, the innovative work of setting up private MSME parks in areas of 10 to 50 acres is being taken forward. So far, the state government has approved the development of three such parks. These parks will be developed on expressway, highway, and inter-state connectivity. At the state government level, Rs 50 lakh per acre is being made available as an incentive at 1 percent annual interest for these parks. The state government has opened new avenues for investment and industrial development in the state through the pledge scheme. This initiative is expected to create a ripple effect, generating additional revenue and employment opportunities, thereby contributing significantly to the state's goal of becoming a $1 trillion economy.

FAVORABLE ENVIRONMENT

- Yogi Government's MSME Policy–2022, has created a favorable environment for the development of micro, small, and medium industries by providing many incentives. Under the policy, 10% to 25% capital (maximum limit of Rs. 4 crore) of the project cost is being provided as a grant.
- Bundelkhand and Purvanchal regions will get 25%, 20%, and 15% subsidies respectively. Madhyanchal and Paschimanchal will get 20%, 15% and 10% subsidy, respectively. A provision has been made to provide 2% more investment incentive assistance to SC, ST, and women entrepreneurs.
- 50% rebate will be given on the annual interest payable on the loan under capital interest subvention for new microindustries. This exemption will be given for five years. The upper limit has been kept at Rs. 25 lakh per unit. This interest subvention will be up to 60% for SC-ST and women entrepreneurs.
- Stamp duty exemption on purchase/lease of land for setting up industries. 100% stamp duty exemption for women entrepreneurs. Provision of subsidy up to Rs 5 lakh for setting up national/international quality certification and equipment required for it.
- There is also a provision to facilitate environmental protection measures to ensure sustainable industrial development. A grant of up to Rs 10 crore is being given for the establishment of a "Common Effluent Treatment Plant" (CETP). The facility of timely and online "incentive disbursement" is also available.
- The "Facilitation Council System" has been decentralized up to the circle level to effectively deal with delayed payments of industries. The state government is also providing exemptions to MSMEs for trade fees and sales tax.
- There is also a provision to encourage the listing of MSME units on the stock exchange to make credit available from more and more sources. All such units will be compensated 20% of the expenditure on listing subject to a maximum of Rs 5 lakh.
- Provision has been made to provide financial assistance of 75% of the total cost and a maximum of Rs 5 lakh to achieve quality standards such as zero effect, hallmark, etc. Financial assistance up to Rs 2 lakh will be available for GI registration and patent etc.